

TABLE 7-1

Currency Effects on U.S. Investors in the EAFE Index

	EAFE Return in Local Currency	EAFE Return in U.S. Dollars	Currency Effect on U.S. Investors
1997	11.8%	2.1%	−9.7%
1998	10.6%	20.3%	9.7%
1999	31.7%	27.3%	−4.4%
2000	−8.5%	−14.0%	−5.5%
2001	−17.5%	−21.2%	−3.7%
2002	−27.5%	−15.7%	11.8%
2003	17.4%	39.2%	21.8%
2004	10.2%	20.7%	10.5%
2005	26.1%	14.0%	−11.9%
2006	13.8%	26.9%	13.1%
2007	1.2%	11.6%	10.5%
2008	−42.1%	−43.1%	−1.0%
2009	24.7%	31.8%	7.1%

TABLE 7-2

Comparing Risk and Return from 1970 to 2009

	MSCI EAFE Net of Dividends (\$)	Total U.S. Stock Market
Annualized return	9.5%	10.1%
Standard deviation	17.1%	15.9%

Some investors question the continued viability of holding international stocks because of the increase in correlation with U.S. stocks. [Figure 7-3](#) illustrates this phenomenon. Since 1998, the correlation of the EAFE Index and the U.S. total market has increased from about + 0.5 to about + 0.8. This should not be a concern. We know that correlations can change abruptly, and the correlation between the EAFE Index and U.S. markets